

and quite arbitrary. For this reason we consider the trend as a *qualitative* factor in its practical implications, even though it may be stated in quantitative terms.

Qualitative Factors Resist Even Reasonably Accurate Appraisal. The trend is, in fact, a statement of future prospects in the form of an exact prediction. In similar fashion, conclusions as to the nature of the business and the abilities of the management have their chief significance in their bearing on the outlook. These qualitative factors are therefore all of the same general character. They all involve the same basic difficulty for the analyst, *viz.*, that it is impossible to judge how far they may properly reflect themselves in the price of a given security. In most cases, if they are recognized at all, they tend to be overemphasized. We see the same influence constantly at work in the general market. The recurrent excesses of its advances and declines are due at bottom to the fact that, when values are determined chiefly by the outlook, the resultant judgments are not subject to any mathematical controls and are almost inevitably carried to extremes.

Analysis is concerned primarily with values which are supported by the facts and not with those which depend largely upon expectations. In this respect the analyst's approach is diametrically opposed to that of the speculator, meaning thereby one whose success turns upon his ability to forecast or to guess future developments. Needless to say, the analyst must take possible future changes into account, but his primary aim is not so much to *profit* from them as to *guard against* them. Broadly speaking, he views the business future as a hazard which his conclusions must encounter rather than as the source of his vindication.

Inherent Stability a Major Qualitative Factor. It follows that the qualitative factor in which the analyst should properly be most interested is that of *inherent stability*. For stability means resistance to change and hence greater dependability for the results shown in the past. Stability, like the trend, may be expressed in quantitative terms—as, for example, by stating that the earnings of General Baking Company during 1923–1932 were never less than ten times 1932 interest charges or that the operating profits of Woolworth between 1924 and 1933 varied only between \$2.12 and \$3.66 per share of common. But in our opinion stability is really a qualitative trait, because it derives in the first instance from the character of